

Foreword

Even though Taiwan has long been a key supplier to the global electronics ecosystem, it took the recent disruptions to semiconductor supply chains — impacted by the Covid-19 pandemic and heightened geopolitical tensions — to bring the island's unique position as a semiconductor leader into the international spotlight.

Taiwan plays a pivotal role in the world semiconductor industry, particularly in the supply of higher specification chips used to power next-generation technologies like 5G, generative AI and high-performance computing. It ranks first by global market share in both chip manufacturing and packaging and testing, and second in design.

Taiwan has spent the past 50 years building up a world-class semiconductor sector, underpinned by supportive government policies and initiatives. A clustering effect has led to the island developing substantial technological capacity and capability, where suppliers and manufacturers have forged a complete semiconductor ecosystem.

Consequently, Taiwan has a high concentration of semiconductor facilities and know-how that make it a crucial partner for technology companies across the globe. As an uncertain degree of US-China 'de-risking' and new global supply chain security efforts unfold, Taiwan's semiconductor prowess will continue to be a focal point.

For that reason, PwC has compiled this concise guide to Taiwan's semiconductor industry to assist international high-tech companies to understand the sector and the opportunities available to them. Indeed, the Taiwan government is keen to attract foreign investment in R&D and innovation to help further strengthen the industry.

At PwC Taiwan, we understand the complexities, nuances and uniqueness of the semiconductor market and their implications for your organisation. We provide solutions across assurance, tax, legal and advisory to help you tackle today's pressing business challenges and to identify new ways to develop and grow your business.

We hope you will find this guide to be a useful resource. If you would like more information or have questions about Taiwan's semiconductor industry and how PwC can be of help, please do not hesitate to contact us.



Tina Cheng
Semiconductor Leader
PwC Taiwan